

don't get. That is thousands of dollars that you are saving by simply making an extra payment toward principal every twelve months! This is a simple method that will keep you *years* ahead of the game!

A guy I know always applies “extra” money to his mortgage whenever it happens to come his way. If he receives a tax refund, he puts it toward his mortgage. A bonus at his job, a cash gift from his dear old Aunt Edna, a good day at the casino; whatever the source, it's money he wasn't planning on, so he uses it to knock down the principal balance on his house.

There's More Than One Way to Skin a Cat – and a Mortgage

I don't know the origin of that saying, but my point is that there are many ways to accomplish the goal of paying off that mortgage sooner.

- ✓ Get a loan from a family member to pay down the principal. The interest savings will allow you to repay your generous kin.
- ✓ If you pay points on your loan, pay them up front; don't roll them into the loan. If you're not paying them up front, you'll be stuck with a higher balance that you'll be paying interest on each month.
- ✓ Consider a loan from your 401(k) plan to pay down your mortgage. If you can get a lower rate than your mortgage, it's a good tactic. And you are paying yourself back.
- ✓ Use your home as a forced savings account. Make a higher payment each month; for example, put \$500 more directly toward the principal. You build up your equity faster and decrease the interest. If you need money, instead of having it sit in a savings account, you use a home equity loan or a home equity line of credit. Again, usually there is a good interest rate and this interest is also tax deductible as home mortgage interest.
- ✓ If you are at all able, consider pre-paying the entire year of your mortgage, each year at a time. You will save thousands in interest and you won't have the burden of a house payment each month.